

CHAPTER 1

Introduction to Oil Trading

Why physical trade is inefficient on its own — and why hedging and financial markets make modern oil trading possible.



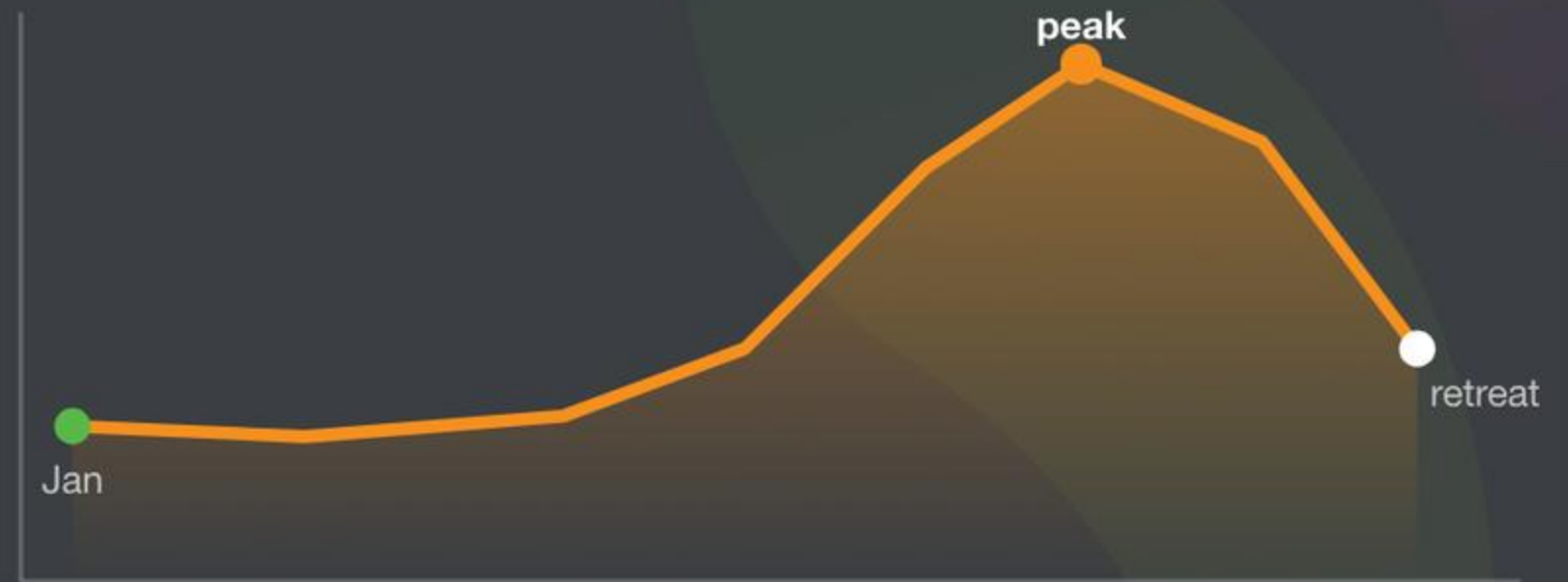
THE REAL GAME IS PRICE

\$61 → \$138

Brent crude, in a single quarter of 2026

Oil is the world's most traded commodity — and one of its most volatile. The hard part of trading is rarely moving the barrel. It is surviving what its price does in between.

PRICE SWINGS, NOT BARRELS, MAKE OR BREAK A TRADE



Two halves of one trade



The physical market

moving the barrel

- Real cargoes bought, shipped and delivered
- Weeks of voyage, storage and logistics
- Large capital tied up in every shipment



The financial market

managing the price

- Futures, swaps and options on the price
- Trades in seconds, settles continuously
- Many times larger than the physical flow



Modern oil trading is both at once. You move the barrel in the physical market and control its price in the financial one — neither works well alone.

THE PROBLEM

Physical trade alone is exposed

A CARGO'S LIFE — AND ITS OPEN PRICE RISK



An open price gap

Between buying and selling, the market can move against you — a thin trading margin can be wiped out in days.

Capital is locked up

Millions are tied up in a single cargo for weeks, all of it exposed to a price you cannot control.

Hedging cancels the price risk

Take the opposite position

Hold a physical cargo (long the barrel)? Sell futures (short the price). One gains exactly what the other loses.

Lock the margin, not the bet

Hedging is not speculation — it removes price risk so the trader keeps the margin they actually earn from moving oil.

Trade with confidence

With price risk neutralized, a firm can commit capital to far more cargoes than it ever could unhedged.

THE HEDGE BALANCE



Physical cargo

long the barrel

+



Short futures

short the price

= Locked margin

price moves cancel out

WORKED EXAMPLE

Why the hedge holds the margin

Setup: a trader buys a cargo at \$90 and sells futures at \$90. Before delivery, the market falls \$10.

– \$10

Physical leg

The cargo is now worth \$80 — a \$10 loss on the barrel held.

+ \$10

Financial leg

The short futures gain \$10 as the price falls — bought back cheaper.

≈ \$0

Net price risk

The legs offset. The trader keeps the margin earned from moving the oil — not a price bet.

Had the price risen instead, the physical would gain and the hedge would lose — the same flat, protected result. That symmetry is the whole point.

Why financial markets are essential



Price discovery

Constant public trading produces one transparent, forward-looking price the whole industry can plan around.



Liquidity

Deep, standardized contracts let a trader enter or exit a hedge in seconds — without moving the market.



Risk transfer

The market lets a firm hand its price risk to someone willing to carry it, freeing it to do what it does best.



Capital efficiency

Posting only margin, a hedger protects a huge physical position with a fraction of the cash — scaling the whole business.

Hedgers need speculators

Hedgers

shed risk

Producers, refiners and traders with real barrels at stake — they use the market to lock in a price and protect their margin.

RISK →



in exchange for
liquidity

Speculators

absorb risk

Funds and traders with no cargo — they willingly take the other side to profit from price, and in doing so make hedging possible.

Without speculators, hedgers would have no counterparty. The two together create the deep, liquid market that physical oil trade quietly depends on every day.

CONCLUSION — TRADING PRICE, NOT JUST BARRELS

Physical and financial oil markets are inseparable.

The barrel is only half

Moving oil is the easy part; surviving its price is where trading is won or lost.

Hedging makes it viable

By offsetting price risk, hedging turns a fragile bet into a steady, scalable business.

Finance is the foundation

Price discovery, liquidity and risk transfer are what let physical oil move at global scale.